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TENTATIVE RULING

Plaintiff The Parking Authority of the City of Beverly Hills's Motion for Summary Judgment is DENIED.

Plaintiff The Parking Authority of the City of Beverly Hills to give notice.

Background

In its complaint, Plaintiff alleges that the parties entered into a lease for the property on October 21, 2021, and the lease provides that the property must be used solely for the operation of a full-service restaurant and wine bar, and the lease further provided for the premises to be open during certain hours. (Compl. ¶¶ 8-9, 12.) Defendant allegedly breached the lease by failing to keep the business open during the required hours and failing to use the premises solely for the operation of a full-service restaurant and wine bar. (Compl. ¶ 13.) Plaintiff advised Defendant of the default, but Defendant hosted a ticketed event at the premises in violation of the lease. (Compl. ¶¶ 14-15.) Plaintiff alleges a single cause of action for unlawful detainer based on this purported violation of the lease.

Plaintiff provides evidence that it owns the property at 235 N. Canon Drive in Beverly Hills, and the parties entered into the lease for the property on October 21, 2021. (Pl.'s UMF Nos. 1, 2.) Section 1.11 of the lease provides that the premises shall be used solely for the operation of a full-service restaurant and wine bar, and that no portion of the premises shall be used or operated as a private club or similar operation. (Pl.'s UMF No. 3.) Exhibit D to the lease, at Section 14, provides that the tenant shall not use the premises for any business activity other than that specifically provided for in the Lease. (Pl.'s UMF No. 4.) Section 8.2 of the lease provides that, from and after the date the tenant opens for business, the tenant shall keep the second floor of the premises continuously open for business not less than six days per week from 5:00 p.m. to 10:00 p.m., and the first floor continuously open for business not less than six days per week from 11:00 a.m. to 7:00 p.m. (Pl.'s UMF No. 5.) Section 16.1(ii) of the lease provides that a failure to perform a non-rent covenant becomes an event of default if not cured within 30 days after written notice from the landlord, or, if the default cannot be cured within that period, if the tenant has not commenced the cure within 30 days and thereafter diligently and continuously prosecuted it to completion. (Pl.'s UMF No. 6.) Section 20.5(c) of the lease provides that any waiver by either party of a breach by the other party of a covenant of the lease shall not be construed as a waiver of a subsequent breach of the same covenant. (Pl.'s UMF No. 7.) Defendant opened a wine bar on the first floor of the premises on or about January 27, 2022, and opened the "Tommy's of Beverly Hills" restaurant on the second floor on or about February 15, 2022. (Pl.'s UMF No. 8.) The Tommy's of Beverly Hills restaurant closed in or around October 2022, and the second floor of the premises has not been operated since that date and remains inoperative. (Pl.'s UMF No. 9.) In October 2025, in an apparent attempt to come into compliance with the lease requirements, Defendant submitted to Plaintiff an architectural design proposal for renovations to the premises under the name "Shambhala Club," with the proposed design showing an apparent bath house, including bedrooms, spa rooms, showers, VIP rooms, a gymnasium, and other amenities. (Pl.'s UMF No. 10.) On February 5, 2026, Plaintiff's counsel caused two separate Thirty-Day Notices to Perform Covenant or Quit to be served on Defendant. (Pl.'s UMF No. 11.) The first notice demanded

that Defendant comply with the continuous-operation requirements of section 8.2 of the lease within 30 days or surrender possession of the premises and forfeit the lease, and the second notice demanded that Defendant comply with the use restrictions of section 1.11 of the lease within 30 days or surrender possession of the premises and forfeit the lease. (Pl.'s UMF Nos. 12, 13.) The proofs of service show that both notices were served on Defendant by personal delivery and by mail, and the 30-day periods stated in the notices expired without Defendant curing the defaults identified in the notices, while the second floor of the premises remained inoperative, Defendant did not resume continuous operation of either floor of the premises as section 8.2 of the lease requires and did not comply with the notices. (Pl.'s UMF Nos. 14, 15.) The 30-day periods stated in the notices expired without Defendant surrendering possession of the premises, and after those periods expired, Defendant remained, and remains, in possession of the premises without Plaintiff's permission or consent. (Pl.'s UMF No. 16.) The reasonable rental value of the premises is \$1,062.14 per day, and Plaintiff continues to incur damages at that rate for each day Defendant remains in possession. (Pl.'s UMF No. 17.)

This evidence allows Plaintiff to meet its burden of showing there is no triable issue of material fact as to its unlawful detainer claim. In opposition, Defendant points to section 1.11 of the lease stating that the tenant may host private events and utilize up to thirty percent of the total dining area for private dining rooms (Def.'s UMF No. 3), and the second floor of the premises has been consistently operated since Tommy's Beverly Hills closed in October 2022 (Def.'s UMF No. 9.) Defendant specifically provides evidence that the premises was originally designed as an integrated, two-level restaurant venue, and both floors rely on shared infrastructure located on the upper level, including centralized kitchen facilities, such that operation of the lower level necessarily requires use of the upper level. (Ibid.) Defendant argues that use of the first floor constitutes, as a practical and operational matter, use of the premises as a whole, and since commencing operations in 2022, Defendant has made continuous, good-faith efforts to operate a viable restaurant at the premises, initially opening Tommy's Beverly Hills (2022), followed by evolving concepts, including Sur Le Vert (2023), Pink Moon (2023–2025), and Hi-Bake café (2025–2026), while also hosting over 100 private events consistent with the lease. (Def.'s UMF No. 9.) Defendant also represents that the "Shambhala" restaurant concept is mischaracterized and was in development only, never actually implemented or constructed (Def.'s UMF No. 10), the notices did not identify valid or enforceable defaults (Def.'s UMF No. 15), and the rate of daily value is not supported by evidence (Def.'s UMF No. 17). Moreover, Defendant points to section 8.2 of the lease as providing that closures beyond Defendant's control are permitted under the lease. (Def.'s UMF No. 5.)

The Court finds that there remains a triable issue of material fact as to whether Defendant violated the lease. Defendant's evidence shows that the lease allows Defendant to host private events, it has implemented various concepts at the property since closing the original restaurant, the closures may have been the result of circumstances beyond Defendant's control, and Defendant did not convert the property into a private club prohibited under the lease. It is for the trier of fact to determine whether Plaintiff has proven its unlawful detainer claim. Accordingly, Plaintiff The Parking Authority of the City of Beverly Hills's Motion for Summary Judgment is DENIED.

Evidentiary Objections

Defendant objects to certain statements within the declaration of Logan Phillippo. Defendant's objections are OVERRULED.